

# S&P GLOBAL INC.

(NYSE: SPGI)

## The Credit Cycle's Toll Collector — Paid in Full Before the Cycle Turns

**REDUCE — \$341.00 Target**

Equity Research Note · Financials — Data, Ratings & Indices · October 4, 2026

| Recommendation | 12-Mo. Price Target | Current Price | Implied Downside | Risk Rating |
|----------------|---------------------|---------------|------------------|-------------|
| REDUCE         | \$341.00            | \$386.27      | -11.7%           | Medium      |

Current price as of October 2, 2026 close.

### Snapshot

|                          |                                                                          |                           |                                                         |
|--------------------------|--------------------------------------------------------------------------|---------------------------|---------------------------------------------------------|
| Market cap               | ~\$114 bn (~295M sh × \$386.27)                                          | Ratings margin            | ~60%+ (the profit engine)                               |
| Net debt                 | ~\$13 bn                                                                 | Adjusted operating margin | ~50% (FY2025)                                           |
| 52-week range            | ~\$361.03 – \$522.47                                                     | Dividend / buyback        | \$3.64 annual (\$0.91/qtr); ~\$1B buybacks/yr           |
| Q2'26 revenue / growth   | \$4.66 bn / +10% YoY                                                     | Debt wall                 | 2026–2027 refinancing at higher rates                   |
| Division revenue (Q2'26) | Ratings \$1.34B (+17%); Indices \$534M (+20%); MI \$1.29B; Energy \$568M | Next catalyst             | Q3'26 results; debt-issuance / refinancing cycle prints |

## 1 Investment Thesis

S&P Global is the credit cycle's toll collector. Ratings — the business of stamping investment-grade judgment on the world's debt — is a legal near-duopoly with ~60% margins, and Indices owns the benchmarks (S&P 500, Dow Jones) against which trillions are measured. These are among the finest franchises in financial data. They are also among the most cyclical franchises in financial data, because the toll collector's revenue depends on traffic: when corporations issue debt, Ratings prints money; when they do not, it does not. Q2 2026 showed the machine at full song — revenue \$4.66 billion up 10%, Ratings up 17%, Indices up 20% — and the stock at \$386.27 is priced as though the song plays indefinitely. It does not.

Our judgment, and the reason this is a REDUCE, is that the credit cycle is the business and the credit cycle is late. Debt issuance has been pulled forward by borrowers racing to lock in rates; the refinancing wall of 2026–27 is real but finite; and the operating leverage that made Ratings' 17% growth so profitable works in both directions. When issuance normalizes — as it always does — revenue growth falls to the low single digits and the margin structure, built for growth, becomes the headwind. Our scenarios are \$118 / \$321 / \$602, weighted to a \$341 target, 11.7% below the quote. The base case (\$321.46) already assumes a soft landing: 5.9% revenue CAGR for a decade, margins expanding to 41%, no recession in the explicit period. Even that benign path is worth less than the current price.

The bear case (\$118.34) is the credit-cycle turn that the price assigns zero probability. A recession or even a sharp issuance pause: Ratings revenue falls double-digits, Market Intelligence sees subscription churn as banks cut data budgets, and the 2026–27 debt refinancing lands at higher rates against lower earnings. Revenue compounds at just 2.3% for the decade with margins compressing to 33%. This is not a stress-test fantasy — it is approximately what the last two credit contractions looked like for this business. At \$386.27, investors are paying a growth multiple for a cyclical franchise at the top of its cycle.

The forward view that matters: S&P Global's franchises are permanent — the world will always need ratings and benchmarks — but their earnings are cyclical, and the market is currently pricing permanence into cyclical earnings.

We would own this business at a price that compensates for the issuance cycle turning. That price is around \$341, not \$386. REDUCE into the strength; the toll collector's best buying opportunities have always come when the traffic stops.

### Why the franchises are permanent and the earnings are not

- **Ratings at +17% is the cycle, not the franchise.** Q2'26 Ratings revenue \$1.34B (+17%) on pulled-forward issuance; Indices \$534M (+20%) on market levels. Both are cyclical peaks dressed as growth — the franchise didn't get 17% better, the traffic did.
- **Operating leverage cuts both ways.** ~50% adjusted operating margins and ~60% Ratings margins mean revenue deceleration flows disproportionately to the bottom line. The base case assumes it doesn't have to.
- **The refinancing wall is finite.** 2026–27 maturities support issuance near-term; beyond that, the pull-forward becomes the air pocket.
- **The price is the bull case.** Our bull (\$601.51) assumes 8.9% revenue CAGR with no cycle. The market at \$386.27 sits well above our base (\$321.46) — paying for permanence in cyclical earnings.

## 2 Business Overview — What S&P Global Is Doing

(New York, New York; CEO Martina Cheung)

S&P Global (origins 1860; modern form since the 2016 McGraw-Hill split) is the world's leading provider of credit ratings, benchmarks, and financial data. Four divisions: Ratings (~30% of revenue, ~60%+ margins — the profit engine), Market Intelligence (\$1.29B quarterly revenue — desktop data, credit analytics, and research subscriptions), S&P Dow Jones Indices (\$534M, +20% — the S&P 500 and Dow Jones benchmarks, licensed to the ETF industry), and Commodity Insights / Energy (\$568M — Platts benchmarks and energy data). Adjusted operating margin is ~50%, among the highest of any large-cap financial franchise.

The business model is subscription and transaction: Market Intelligence and Indices are largely recurring (sticky, priced on assets and seats), while Ratings is transaction-driven — issuers pay per deal, which makes it the cyclical swing factor. In 2025 revenue reached \$15.34 billion with free cash flow of \$5.46 billion (35.6% margin). Capital return is steady: a \$3.64 annual dividend and roughly \$1 billion a year in buybacks.

The forward picture is a franchise portfolio at peak cyclical earnings. Ratings benefits from the 2026–27 refinancing wall; Indices benefits from elevated equity markets and ETF asset growth; Market Intelligence benefits from bank data budgets that are currently expanding. All three tailwinds are cyclical. The structural story — data and benchmarks compounding with financial-market activity over decades — is real and is why the terminal value in our model is large. But the next three years are about where we are in the credit cycle, and our judgment is: late.

### What the company is doing now

- **Ratings (~30% of revenue, ~60%+ margin).** The credit-rating duopoly with Moody's; transaction-driven, the cyclical swing factor, the profit engine at peak.
- **Market Intelligence (\$1.29B/qtr).** Desktop data and credit analytics subscriptions; sticky but exposed to bank budget cuts in a downturn.
- **S&P Dow Jones Indices (\$534M, +20%).** The S&P 500 benchmark licensed to the ETF industry; revenue scales with market levels and asset flows — a second cyclical lever.
- **Commodity Insights / Energy (\$568M).** Platts benchmarks; steadier, smaller, and strategically peripheral.

## 3 Financial Analysis

| \$ bn      | FY2022 | FY2023 | FY2024 | FY2025 |
|------------|--------|--------|--------|--------|
| Revenue    | 11.18  | 12.50  | 14.21  | 15.34  |
| YoY growth | —      | +12%   | +14%   | +8%    |

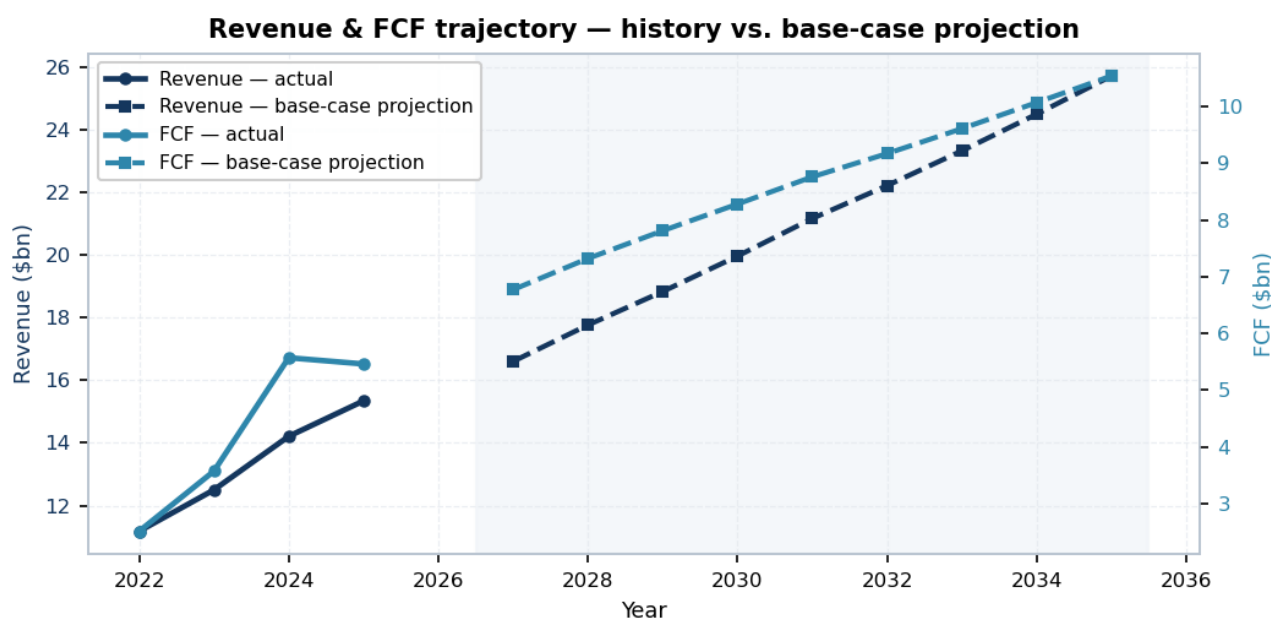
| \$ bn                    | FY2022         | FY2023        | FY2024     | FY2025        |
|--------------------------|----------------|---------------|------------|---------------|
| Adj. operating margin    | —              | —             | ~49%       | ~50%          |
| Free cash flow           | 2.51           | 3.57          | 5.57       | 5.46          |
| FCF margin               | 22.4%          | 28.6%         | 39.2%      | 35.6%         |
| Q2'26: Ratings / Indices | \$1.34B (+17%) | \$534M (+20%) | MI \$1.29B | Energy \$568M |

Sources: company releases; annuals via yfinance. FY2026E: revenue \$15.5B, FCF \$6.25B (model anchors).

The margin structure is the story: ~50% adjusted operating margins, ~60%+ in Ratings, converting to a 35.6% free-cash-flow margin in FY2025 (\$5.46B on \$15.34B). Our model has FY2026E FCF at \$6.25 billion, expanding to \$10.54 billion by 2035 as margins reach 41%. This is a business that converts incremental revenue to cash at extraordinary rates — which is precisely why a revenue deceleration is so punishing: the operating leverage is symmetric.

The balance sheet carries ~\$13 billion of net debt against a ~\$114 billion market cap — manageable, but the 2026–27 refinancing wall means a meaningful portion reprices at higher rates even as earnings face cyclical pressure in our bear case. The dividend (\$3.64 annual) and ~\$1B annual buybacks are well covered in the base case and would come under review in a genuine downturn — which is itself a signal to watch.

#### Revenue & cash-flow trajectory



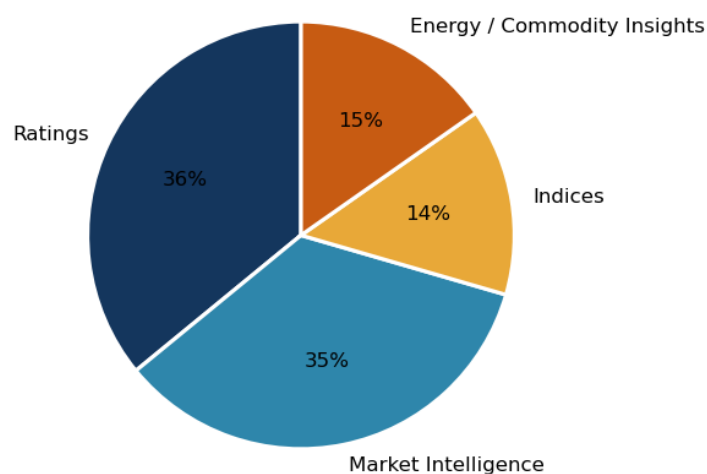
History: company filings via yfinance. Projection: base-case series from the scenario DCF (FY2026E anchor \$15.5B revenue; 5.9% 10-yr CAGR; FCF margin to 41%).

## 4 Moat & Competition

- **The ratings duopoly.** S&P and Moody's are embedded in debt covenants, regulation, and investment mandates worldwide. Displacing a rating agency is a decades-long project; the NRSRO designation is a regulatory moat.
- **Benchmark ownership.** The S&P 500 is the benchmark against which the world's capital is measured; licensing it to the ETF industry is a royalty on global equity markets.
- **Data integration.** Market Intelligence's desktop and analytics are embedded in bank and fund workflows; switching costs are real, if not insurmountable.
- **The moat does not cover the cycle.** No moat protects a transaction business from a transaction drought. The franchises are permanent; the earnings are cyclical — and the market is pricing the former into the latter.

## Q2'26 revenue by division (\$4.66B total)

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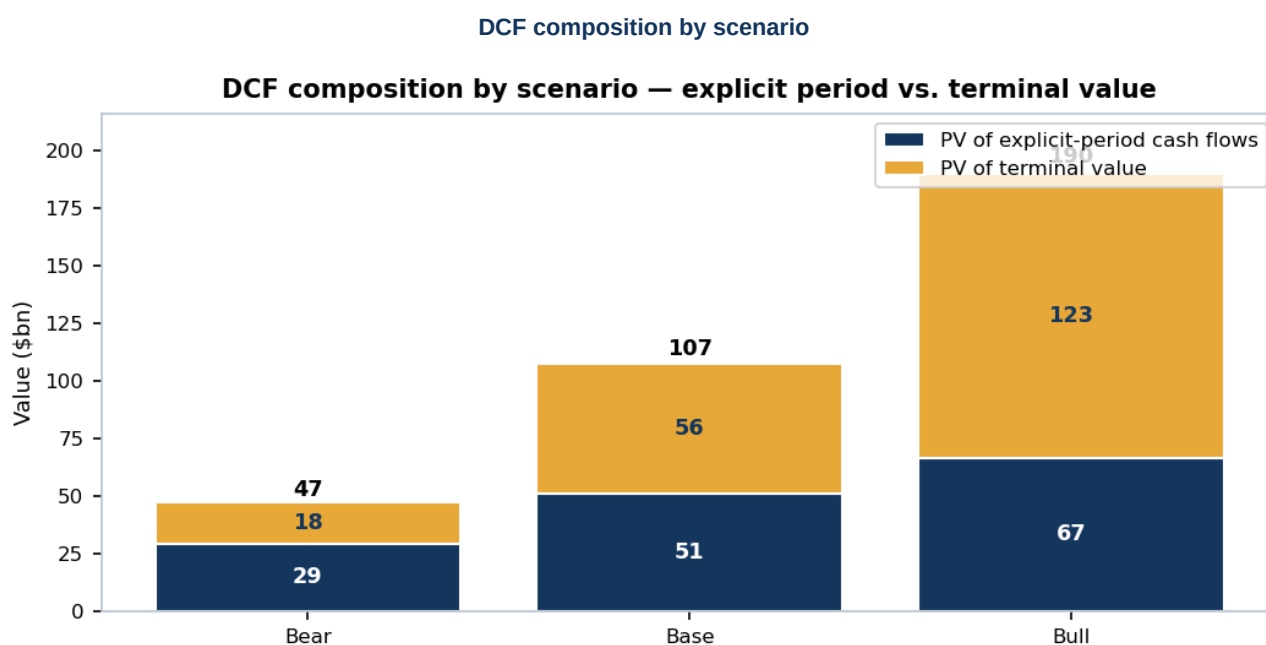
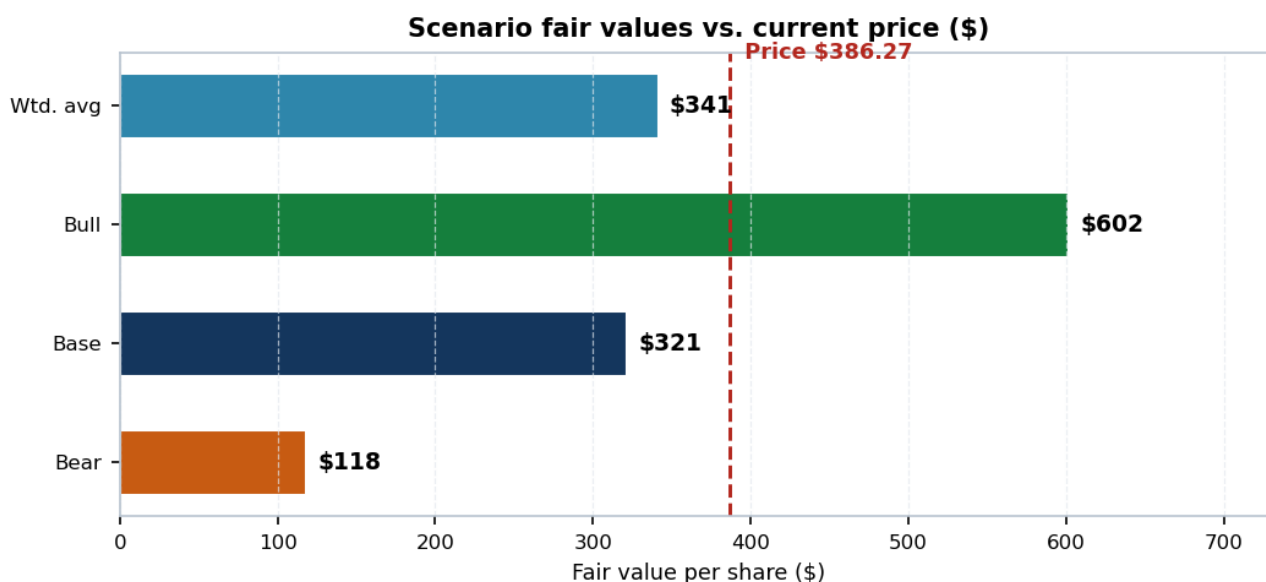
## 5 Valuation — 10-year scenario DCF (FY2026–FY2035), Fair Value \$341

We value S&P Global on a 10-year explicit DCF of free cash flow (FY2026–FY2035), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 9.5% (elite franchises, cyclical earnings, regulatory exposure), bear 12.0% (base + 250bp), bull 8.0% (base – 150bp). Terminal growth 1.25% / 2.25% / 2.50% on year-10 FCF at the scenario's terminal margin (33% / 41% / 44%) — through-cycle levels, never peaks. Revenue CAGRs: bear 2.3% (credit-cycle turn in the explicit period), base 5.9%, bull 8.9%. Equity = firm EV – ~\$13B net debt, over ~295M shares. Terminal value is 38–65% of EV across scenarios — within discipline, no haircut required.

| Scenario | Key assumptions                                                                                                                                                                                     | Rev CAGR | End margin | Discount / term. g | TV share | Fair value |
|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|------------|--------------------|----------|------------|
| Bear     | The credit cycle turns: Ratings revenue falls double-digits, MI churns on bank budget cuts, the 2026–27 refinancing lands at higher rates against lower earnings; 2.3% revenue CAGR, margins to 33% | +2.3%    | 33%        | 12.0% / 1.2%       | 38%      | \$118.34   |
| Base     | Soft landing: 5.9% revenue CAGR, no recession in the explicit period, issuance normalizes gently; margins expand to 41% on mix shift to the higher-margin divisions                                 | +5.9%    | 41%        | 9.5% / 2.2%        | 52%      | \$321.46   |
| Bull     | The cycle never turns: 8.9% revenue CAGR, issuance compounds indefinitely, 44% terminal margins; the refinancing wall extends into 2028–29                                                          | +8.9%    | 44%        | 8.0% / 2.5%        | 65%      | \$601.51   |
| Wtd. avg | Probability-weighted (25/50/25) → <b>\$341.00 target</b>                                                                                                                                            |          |            |                    |          | \$341.00   |

$0.25 \times \$118.34 + 0.50 \times \$321.46 + 0.25 \times \$601.51 = \$341.29 \rightarrow \$341$  target. Bear meets all hurt conditions (issuance collapse, margin compression, 25%+ derating).

### Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

## 6 Risks & Falsification

### Key risks

- **Credit-cycle turn (the #1 risk).** Ratings is transaction-driven; an issuance pause or recession cuts the highest-margin revenue first and the operating leverage amplifies it.
- **Pulled-forward issuance.** Borrowers racing to lock in rates have borrowed from future quarters; the air pocket follows the wall.
- **Refinancing at higher rates.** The 2026–27 debt wall reprints against potentially lower earnings in a downturn — a double hit.
- **Regulatory / political risk.** Rating agencies are perennial political targets; adverse regulation of the issuer-pays model would strike at the franchise's core.

- **Passive and private-credit disintermediation.** If private credit continues taking share from public debt markets, the rated-issuance universe grows more slowly than credit itself.
- **Valuation.** At \$386.27 the stock sits well above our \$321.46 base — a growth multiple on cyclical peak earnings.

### What would change our mind

The base case's soft-landing assumption would be withdrawn if investment-grade or high-yield issuance falls 20%+ year over year for two consecutive quarters, or if credit spreads blow out — at that point the bear case (\$118.34) becomes the working assumption and we would look to buy the franchise at cyclical prices. Conversely, if the refinancing wall extends into 2028–29 with issuance holding at current levels, the benign path lengthens and the base case becomes conservative. Watch: monthly issuance volumes, credit spreads, bank data-budget commentary.

## 7 Methodology

We value the business on a 10-year explicit DCF of free cash flow (bear 25% / base 50% / bull 25%). Revenue follows the scenario path (bear 2.3% / base 5.9% / bull 8.9% 10-year CAGR, with a credit-cycle turn in the bear case); free-cash-flow margin moves to the scenario's terminal margin (33% / 41% / 44%) over the horizon. Discount rates: base 9.5%, bear +250bp (12.0%), bull –150bp (8.0%). Terminal growth (1.25% / 2.25% / 2.50%) applies to year-10 FCF at the scenario's terminal margin. Equity = firm EV – net debt; divided by diluted shares. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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